

sick, so he got in his car and drove off toward Harrisburg in a panic. But the other twin said, "Bosh, I've had enough of this stuff," and took off all his clothes and stood right next to Three Mile Island for a day. Who took the greater risk? You could easily show that it was the twin who drove off, because the chance of being killed in a car accident was much higher than it was for the fellow standing there naked.

But the combined hysterics of the media and the politicians had their effect: the U.S. nuclear power industry ended at Three Mile Island. No matter that other energy sources, including coal, synthetic fuels, and even solar power, are each damaging to the environment in their own way and carry a much higher risk of human deaths.

The Mental Factor

Popular reactions to real or imagined disasters have been studied thoroughly. Books have been written, for example, about the panic that followed Orson Welles's radio drama *The War of the Worlds*, which convinced a good part of the population that Martians had invaded New Jersey. But it wasn't until the early 1980s that psychologists began to take a look at how people respond to *financial* anxieties. When they finally did, they found that the same kind of irrationality prevails.

There is a steady flow of wealth from hopeful gamblers to the men who know what the odds really are.

Much of the pioneering work was done by the late Amos Tversky, a professor at Stanford, and Daniel Kahneman, now at Prince-